

China's Impact on International Trade Law

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Abstract: International trade law has enabled China's integration into the world economy and provided a toolbox for the Chinese leadership to construct a market-oriented trade regime. However, the reverse relationship – how China has influenced international trade law – has not been adequately addressed in the literature. This chapter examines several areas where China has played a role in shaping the rules, regulatory philosophies, and institutional operations of international trade law and governance and thereby integrating the priorities of its developmentalism into international law. It proposes a theoretical framework, instrumental multilateralism, to characterise the Chinese approach to the multilateral trading order, which is a key component of Chinese developmentalism. It finds that China has, to various degrees, reshaped WTO jurisprudence to accommodate its hybrid economic system, integrated its domestic policy into the agendas of certain WTO negotiations, and formed coalitions by uniting the Global South to enhance its bargaining position, thereby affecting the final outcomes of rule-making.

Keywords: : China's impact on international trade law; Chinese developmentalism; alternative economic models; instrumental multilateralism; China's participation in WTO dispute settlement; digital trade and e-commerce negotiations; trade development; global south; global economic institutions.

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I. INTRODUCTION

China's engagement with international trade law is a significant subject that exemplifies the fundamental characteristics of its involvement in the contemporary global economic system since the establishment of the People's Republic of China (PRC) in 1949. For this chapter, 'international trade law' refers to the framework of laws and regulations that govern the exchange of goods and services, and the related aspects, between nations. As a system of legal rules underpinning one of the key pillars of the post-war global economic system, known as the Bretton Woods System,¹ international trade law consists of (1) the agreements and rules under the umbrella of the General Agreement on Tariffs and Trade (GATT) signed in 1947 and the World Trade Organization (WTO) established in 1995, referred to as the GATT/WTO-based 'world trade law'; (2) free trade agreements (FTAs) including regional and bilateral economic agreements; (3) general rules of public international law applicable to international trade; and (4) national trade laws and regulations that govern imports and exports, tariffs, trade remedies, and compliance with international standards.

Since 1949, China's foreign trade relations have evolved with its interactions with the global trade system. Initially, China was represented by the Kuomintang-led Republic of China government as a founding signatory to the GATT in 1947. The PRC, established in 1949, has undergone a complex journey in international trade law, marked by several significant phases: aligning closely with the Soviet Union in the 1950s, entering a period of isolation after breaking away from the Soviet bloc in the 1960s and 1970s, opening up to Western countries since the late 1970s, and partially decoupling from the United States in the late 2010s. During the Reform and Opening-Up period (1978 to the present), China has largely acted as a rule-taker and a responsible, albeit occasionally reluctant, status quo power within the US-led, Western-dominated international economic order.

The influence of international trade law on China's trade regime and legal reform has been extensively discussed from legal, institutional, and policy perspectives.² The system of

¹ A broader definition of the 'Bretton Woods System' refers to the institutional structure of the contemporary international economic system, comprising the International Monetary Fund (IMF) and World Bank (established through the Bretton Woods Conference in 1944 and the General Agreement on Tariffs and Trade (GATT) which was signed by the attendees of the Havana conference in 1947.

² See e.g., Jiangyu Wang, 'China and International Trade Law: Rising from Within the System or Always an Outlier?' in Ignacio de la Rasilla and Congyan Cai (eds.), *The Cambridge Handbook of China and International Law* (CUP, 2024) 397-422. See also Jiangyu Wang, 'The Rule of Law in China: A Realistic View of the Jurisprudence, the Implication of the WTO, and the Prospects for Future Development', (2004) Singapore

international trade law, as defined earlier, has played an instrumental role in dismantling the trade barriers that China had in place for decades during its planned economy era. Through the transplantation and codification of international trade law principles and rules into its domestic legal framework, China has created a foreign trade regime that closely aligns with international best practices and that of the US and other Western countries.³ Consequently, trading rights have been universally extended to all businesses and individuals (which was later universally extended to all businesses and individuals),⁴ replacing traditional administrative and quantitative restrictions with WTO-approved lower tariffs, limited quotas and licenses, and legitimate trade remedy measures. The principle of reciprocity in international trade law has facilitated the entry of Chinese exports into foreign markets with reduced trade barriers, enabling the country to emerge as the 'world's factory' for manufactured goods. Furthermore, China's accession to the WTO imposed binding treaty obligations, including the uniform and equal administration of laws, non-discrimination, transparency, and judicial review, among others, which have significantly enhanced the rule of law within the country.

While there were extensive scholarly discussions in the literature on how international trade law has influenced China's legal, economic, and trade reforms, a significant gap remains in research concerning the reverse effect. Specifically, the impact of China's evolving trade regime, encompassing its trade laws, policies, and practices, on the functioning and evolution of the global trade system has been largely overlooked. The literature seems to have been

Journal of Legal Studies 347-389; Alan S. Alexandroff, Sylvia Ostry, and Rafael Gomez, *China and the Long March to Global Trade: The Accession of China to the World Trade Organization* (Routledge, 2002); Deborah Z. Cass, Brett G. Williams and George Barker, *China and the World Trading System: Entering the New Millennium* (CUP, 2003); Deepak Bhattachali, Shantong Li, and Will Martin, *China and the WTO: Accession, Policy Reform, and Poverty Reduction Strategies* (World Bank, 2004); Pasha L. Hsieh, 'China's Development of International Economic Law and WTO Legal Capacity Building', *Journal of International Economic Law* 13:4 (2010) 997-1036; Henry Gao, Damian Raess and Ka Zeng, *China and the WTO: A Twenty-Year Assessment* (CUP, 2023); Weihuan Zhou, *China's Implementation of the Rulings of the World Trade Organization* (Hart Publishing, 2019). See also James Scott and Rorden Wilkinson, 'China Threat? Evidence from the WTO', *Journal of World Trade* 47:4 (2013): 761-782; Manjiao Chi, 'Trade-Plus Effects of WTO Dispute Settlement on China: An Ideal or Illusion?' *Journal of World Trade* 47:6 (2013) 1349-1384; Wenhua Ji and Cui Huang, 'China's Experience in Dealing with WTO Dispute Settlement: A Chinese Perspective', *Journal of World Trade* 45:1 (2011) 1-37; James Bacchus, Simon Lester, and Huan Zhu, 'Disciplining China's Trade Practices at the WTO', *Cato Institute Policy Analysis*, November 15, 2018 (Number 856).

³ Jacques deLisle, 'China's Rise, the U.S., and the WTO, Perspectives from International Relations Theory', *University of Illinois Law Review* (2018) 59, 57 at 58.

⁴ See Foreign Trade Law of the People's Republic of China (originally adopted on 12 May 1994; amended on 7 November 2016 and 30 December 2022, respectively), Article 8.

based on the assumption that this influence is unidirectional, flowing exclusively from the international economic law to China.⁵

Erie and deLisle argue, in the introductory chapter of this volume, that Chinese developmentalism represents a transformative approach to economic development and governance that contrasts with the liberal internationalism championed by the United States. They contend that Chinese developmentalism is reshaping international norms by promoting autocracy-friendly principles and emphasising sovereignty and socio-economic rights. Within this framework, this chapter holds that, as China has rapidly integrated into the global economic system on its path to becoming the world's second-largest economy, and reflecting the nature of Chinese developmentalism, the relationship between China and international trade law is increasingly bidirectional. China has shifted from being primarily a "rule-taker" to becoming an active "rule-shaper" – and to some extent a "rule-maker" – in international trade law. This transformation encompasses both China's direct influence on WTO jurisprudence through participation in dispute settlement and its broader impact on global and regional trade governance through alternative approaches and institutions.

The chapter is structured as follows. Part II presents the theoretical framework that aims to explain China's influence on the global trade regime. It argues that China has embraced an approach characterised as 'instrumental multilateralism', which has brought important changes – or potential changes – to the contemporary international trade regime. Part III analyses several areas in which China's influences have played a role in reshaping international trade law, including (1) the systematic impact of China's WTO-plus obligations on the WTO legal system, (2) China's reshaping of WTO jurisprudence through strategic WTO litigation, (3) China's participation in WTO rule-making, using digital trade and e-commerce as a case study, and (4) the impact of China's relationship with the Global South on the development of international trade law and governance. Part IV concludes.

⁵ It is important to note that the works by Matthew Erie, Henry Gao, Gregory Shaffer, Pasha Hsieh, Heng Wang and Weihuan Zhou, among others, have alluded to China's impact on international economic/trade law to various degrees and on different points.

II. THE CHINESE APPROACH OF INSTRUMENTAL MULTILATERALISM

Multilateralism in international trade refers to the cooperative framework in which multiple nations collaborate under established rules and institutional structures to govern trade relations. Unlike bilateralism, which involves trade agreements between two countries, or unilateralism, where a single country acts independently, multilateralism features broad participation and coordination among many nations to ensure that trade flows freely and predictably.⁶ Since the end of World War II, trading nations, mainly under the leadership of the United States of America, have established the GATT/WTO regime as the central institutional architecture for the regulation of international trade, which emphasises non-discrimination, collective negotiations to make trade freer by reducing trade barriers, reciprocity, transparency, and fair competition, among others, as the universal principles in a unified, rules-based legal system for the global exchange of goods and services, known as the multilateral trading system (MTS).⁷

China's compliance with the rules of the MTS has been a subject of intense debate, particularly since its accession to the WTO. China portrayed itself as an exemplary member of the global trade community—particularly in fulfilling its WTO commitments—and as a staunch defender of the WTO and multilateralism, especially in response to U.S. criticisms and the US-China trade war.⁸ However, a great amount of voices, especially the official ones from the West, have branded China as an outlier of the rules-based, WTO-led trade regime who has constantly failed to fulfil its WTO obligations. In its most recent report on China's WTO performance, the United States Trade Representative (USTR) characterised China's compliance record as 'poor'.⁹ Specifically, it contended that 'China has a long record of violating, disregarding and evading existing WTO rules'.¹⁰ More significantly, according to

⁶ John Gerard Ruggie, 'Multilateralism: the Anatomy of an Institution', *International Organization*, 46:3, 561 at 568-574.

⁸ See generally, 'White Paper on China and the World Trade Organization', The State Council Information Office of the People's Republic of China, June 2018 (hereinafter the 'White Paper on China and the WTO'). See also Siqi Li and Xiaozhun Yi, '20 Years On: China's Role in the Multilateral Trading System', in Henry Gao, Damian Raess, and Ka Zeng, *China and the WTO: A Twenty-Year Assessment* (CUP 2023), pp. 21-44.

⁹ United States Trade Representative, *2024 Report to Congress on China's WTO Compliance*, January 2025 (www.ustr.gov), p. 2 (hereinafter USTR, 'China's WTO Compliance Report 2024').

¹⁰ *Id.*

the USTR, China's 'non-market economic system ... has also become decidedly predatory in nature'.¹¹ The EU's assessment of China's WTO compliance shares some overlap with the US but is nuanced by its emphasis on cooperating with China to support multilateralism. Using less extreme language, the EU also criticised China's 'proactive and state-driven industrial and economic policies', including nurturing national champions, investment restrictions, heavy state subsidies, localization requirements, and weak IPR protection for foreign parties, among others.¹²

Based on systematic analysis of China's trade practices and their implications, this chapter argues that China's impact on international trade law can be explained from a theoretical perspective of 'instrumental multilateralism', which describes China's strategic engagement with the MTS, characterized by a pragmatic blend of cooperation, selective compliance, exploitation of regime ambiguities, and innovation to maximise national interests in pursuit of the 'Chinese Dream of National Rejuvenation'. This political and ideological concept is central to the modern governance system under the leadership of the Communist Party of China (CPC) led by President Xi Jinping.¹³ However, it also encapsulates a long-standing aspiration of generations of Chinese leadership to restore China to a position of global prominence, economic prosperity, and cultural pride.¹⁴ Unlike traditional multilateralism, which emphasises universal norms and collective benefits, China's instrumentalist approach treats the MTS as a useful apparatus – reliable, flexible, and adaptable – to advance its economic and strategic goals, all towards realising the rise of China.¹⁵ In essence, this theory posits that China neither fully embraces nor outright rejects the MTS but instead instrumentalises it to serve the broader ambition of restoring its historical prominence. In a nutshell, Chinese instrumental multilateralism is defined by the following four features, which are the constituting elements of the theory:

¹¹ Id.

¹² European Commission, *EU-China – A Strategic Outlook*, Strasbourg, 12 March 2019, JOIN(2019) 5 Final, pp. 5-6.

¹³ '习近平：实现中华民族伟大复兴的中国梦' [Xi Jinping, 'Realizing the Chinese Dream of Great Rejuvenation of the Chinese Nation'], Database of Chinese Leaders and Cardres, *The People's Daily* (www.people.com.cn) .

¹⁴ The term 'the rejuvenation of the Chinese nation' had been used by Chinese leaders such as Sun Yat-sen, Mao Zedong, Deng Xiaoping, Jiang Zemin, Hu Jintao, each adapting to their era's goals – republicanism, communist revolution, socialist economic construction, economic reform, and the pursuit of global dominance, respectively.

¹⁵ Matthew Erie noted that, when joining multilateral economic institutions like the WTO, IMF, and World Bank, 'China is coming into a world that does not necessarily reflect its core values'. See Matthew S. Erie, 'Chinese Law and Development', *Harvard International Law Journal* (2021) 62:1, 51 at 57.

- a. **Fully leveraging MTS benefits:** China has strategically utilised the WTO system to access global markets and protect its trade interests by leveraging WTO rules, including the non-discrimination principle, tariff-binding, prohibition of quantitative restrictions, and the dispute settlement mechanism. Its accession to the WTO in 2001 marked a significant turning point in the country's trading history, paving the way for it to become the world's second-largest economy and largest trading nation. China has successfully used the WTO's Dispute Settlement System to challenge U.S. trade barriers, winning cases such as DS379 and DS543, among others.¹⁶ This reflects a calculated embrace of MTS principles and rules when they align with China's economic priorities, namely, export expansion, technology acquisition, and supply chain dominance.
- b. **Openly defending multilateralism :** China has positioned itself as a staunch defender of multilateralism and free trade in the face of rising protectionism. President Xi Jinping has repeatedly stressed China's commitment to globalisation, free trade, and opposition to trade protectionism in major international forums, contrasting with perceived US retreats to trade multilateralism under protectionist policies like 'America First' or 'Make America Great Again' (MAGA).¹⁷ Particularly, China's rhetoric emphasizes a 'win-win' global order, resonating with its vision for a global 'community with a shared future for mankind'.¹⁸ This strategic stance, appealing to developing nations and even some Western countries that favour a multilateral approach, enhances China's soft power and legitimises its leadership status in the current international economic order.
- c. **Exploiting grey areas** or areas not covered by the MTS: China has demonstrated strategic flexibility and mastery in exploiting areas where the WTO has weak or even non-existent regulations, such as state-owned enterprises (SOEs), industrial subsidies, and digital trade, among others. For instance, China's strategic engagement in digital trade and e-commerce serves as a clear example of its instrumental multilateralism. By crafting domestic regulations that are subsequently recognised and incorporated into international standards, China demonstrates its ability to influence global norms

¹⁶ See the discussions in Part III:2 of this chapter.

¹⁷ See 'China's Xi Jinping Defends Globalization from the Davos Stage', The World Economic Forum, 17 January 2017 (www.weforum.org), ; 'Xi Jinping signals China will champion free trade if Trump Builds Barrier', *The Guardian*, 18 January 2017 (www.theguardian.com); 'Working Together for a Fair and Equitable Global Governance System', remarks by Xi Jinping at the 19th G20 Summit (www.fmprc.gov.cn).

¹⁸ See 'Pursuing a Global Community of Shared Future and Advancing Toward a Brighter Future', *Qiushi Journal*, 2024:23 (en.qstheory.cn).

from within the multilateral trading system. This approach allows China to align the development of digital trade frameworks with its national priorities, while simultaneously shaping the evolution of international trade law in new and emerging sectors. Similarly, China has adeptly navigated the WTO's subsidies and countervailing regime, crafting industrial policies that stretch the limits of what is permissible under international trade law. This tactic reflects adaptability, a hallmark of China's pragmatic pursuit of power, enabling China to gain competitive edges without breaching formal treaty obligations.

- d. **Creating alternative frameworks or institutions:** China has long been known for its propensity to build alternative frameworks and institutions in fields such as trade, development finance, currency settlement, data regulation, and artificial intelligence, among others, running parallel to those in the post-war international economic order that emerged from the Bretton Woods conference of 1944.¹⁹ Notable examples of this phenomenon include the Belt and Road Initiative (BRI) and the Asian Infrastructure Investment Bank (AIIB). Similarly, when the existing MTS does not sufficiently address China's interests, instrumental multilateralism may motivate China to pursue institution-building outside of the World Trade Organization (WTO).

The foregoing distils the core features of Chinese instrumental multilateralism, one means by which China has integrated its developmentalist aims into the international economic system. Following the approach of instrumental multilateralism, China has attempted to, acting on its national interests, engage with the MTS in the following manners: (1) reforming the WTO from within; (2) influencing the interpretation of WTO law by the DSB towards China's preferred position; (3) navigating the ambiguities and loopholes of an imperfect WTO system while helping generate imperatives for favourable multilateral regulation of those grey areas; (4) actively participating in rule-making for new areas of international trade requiring multilateral regulation, such as digital trade and e-commerce; and (5) building alternative trade governance structures and rule-making forums that complement and potentially challenge the WTO-controlled trade regime, particularly given that the WTO's dispute settlement mechanism has been seriously weakened because the Appellate Body (AB) has

¹⁹ See James F. Paradise, 'The Role of "Parallel Institutions" in China's Growing Participation in Global Economic Governance', *Journal of Chinese Political Science* (2016) 21: 149-175. See also Oliver Stuenkel, *Post-Western World: How Emerging Powers Are Remaking Global Order* (MA: Polity Press, 2016).

been unable to operate effectively due to the US blocking the appointment of AB members, and that multilateral trade negotiations are practically stalled at the WTO level.

However, it is important to emphasise that not all Chinese influences on international trade law are necessarily regarded as ‘good’ by everyone, depending on how ‘goodness’ is interpreted. China’s engagement with trade multilateralism, particularly the GATT/WTO regime, is not founded on altruism but reflects a complex interplay of strategic adaptation, economic nationalism, pragmatism, and ideological positioning. On that last point, the ideological thrust of Chinese developmentalism—that economic growth can solve a poor country’s problems and that domestic policies should be directed towards achieving national interests—is carried forward in its instrumental multilateralism. An approach guided by this philosophy can still have an impact on the development of trade law. For instance, China’s exploitation of the ‘grey areas’ in WTO law certainly reflects adaptability, which may be characterised as opportunism (or the US accusations of ‘economic aggression’) as noted in the USTR’s report.²⁰ Nevertheless, it is a rational strategy for a rising power navigating an imperfect system. One might argue that China’s use of the grey areas challenges the MTS’s universality, pushing it towards reform or being marginalised in global governance.

III. SELECTED AREAS OF CHINESE INFLUENCE ON INTERNATIONAL TRADE LAW

As with much of Chinese developmentalism in international law, China’s impact on international trade law is still limited, but it is happening steadily nonetheless, with the potential to significantly reshape at least some aspects of international trade laws, norms, and practices.

A. The Systemic Challenges of China’s WTO-Plus Obligations to the WTO Legal System

When China acceded to the WTO in December 2011, its Accession Protocol included a set of commitments known as ‘WTO-plus’ obligations, which ‘may have profound implications for

²⁰ See above note 6, USTR, ‘China’s WTO Compliance Report’.

the development of international trade law'.²¹ These obligations have exceeded the standard and uniform requirements imposed on other WTO members, reflecting China's unique status as a large economy with distinct characteristics. As Julia Qin noted, the obligations cover areas including '(1) transparency, (2) judicial review, (3) uniform administration, (4) national treatment, (5) foreign investment, (6) market economy, and (7) transitional review'.²² In a nutshell, these obligations are more stringent than those ordinarily apply to WTO members.

The WTO-plus obligations imposed on China have posed significant challenges to the integrity and uniformity of the WTO legal system. Julia Qin highlighted the harm to the WTO's rule of law due to normative fragmentation. By treating China differently through WTO-plus obligations, the rule of law is undermined, both because it contradicts the non-discrimination principle and creates different WTO membership classes.²³ There are also interpretative challenges in dispute settlement. The WTO-plus obligations, made through '[a]d hoc rule-making in the accession negotiations', were not the result of 'careful formulation of rules of conduct'.²⁴ Such obligations are often vaguely worded and time-bound, making interpretation difficult and creating uncertainty for China in terms of compliance. For instance, the provision regarding China's non-market economy (NME) status in China's Accession Protocol was supposed to expire in 2016; however, the US and EU have continued to treat China as an NME, arguing that the Chinese economy still distorts market conditions. China filed two WTO complaints on 12 December 2016, requesting consultations with the US and EU, respectively, concerning their trade laws pertaining to the determination of normal value for NME status in anti-dumping proceedings involving products from China.²⁵ However, China requested that the panel established for DS516 suspend the dispute settlement proceedings on 7 May 2019, indicating a lack of interest in pursuing a resolution for the case.²⁶ As Henry Gao and Weihuan Zhou pointed out, if the case were not withdrawn by China, a ruling rendered by the panel, whatever it was, would 'call into question the legitimacy of the WTO', simply because a decision in favour of the EU (and US) would be viewed by China as the WTO 'institutionalizing ... discrimination against China', while an

²¹ Wang, 'China and International Trade Law', above note 2, 406.

²² Julia Qin, '“WTO-Plus” Obligations and Their Implications for the World Trade Organization Legal System: An Appraisal of the China Accession Protocol', *Journal of World Trade* 37:3 (2003), 483, 491. Qin's paper is the first and still the classic work comprehensively examine China's WTO-plus obligations.

²³ Qin, id, 514

²⁴ Ibid, Qin, 516.

²⁵ See *United States – Measures Related to Price Comparison Methodologies* (DS515) and *European Union – Measures Related to Price Comparison Methodologies* (DS516). Chinese requests for consultation for both cases were filed on 12 December 2016.

²⁶ See id, DS516.

opposite decision supporting the Chinese position might be regarded as ‘cataclysmic for the WTO’ by the two Western powers.²⁷ Thus, the WTO was embarrassingly caught in between when dealing with WTO-plus obligations.

On the other hand, the WTO system also benefits from the positive impact brought by the ‘plus’ obligations. Qin noted that the market economy commitments in China’s Protocol, such as the obligation to let market forces determine prices in China, to let SOEs operate on commercial basis, and to liberalize the foreign trade regime, help define ‘market economy obligations’ for a member in the absence of a definition of ‘market economy’ in WTO law.²⁸ Furthermore, those WTO-plus rules, all geared towards liberalisation, could positively influence the future development of WTO law by establishing a new standard for trade liberalisation – possibly to a very limited extent, thus becoming instrumental in encouraging new members to accept higher obligations.

In summary, China, simply by being a large economy with a unique economic model, began to influence the development of international trade law from the very start of its WTO membership by accepting WTO-plus obligations that introduced elements of ambiguity, discrimination, and systemic misalignment into the world trade regime. These challenges test the coherence, universality, and adaptability of the WTO law, highlighting the limitations in managing a globalised economy with diverse participants. As China’s influence continues to grow, these issues could either drive reforms within the WTO, possibly to strengthen the MTS, or accelerate a transition toward alternative trade law frameworks, potentially leading to the collapse of the MTS.

From the perspective of instrumental multilateralism, China’s acceptance of WTO-plus obligations was motivated by a pragmatic resolve to leverage the MTS to eliminate trade barriers and secure greater market access within other WTO members, thereby accelerating its market-oriented domestic reforms and enhancing its export-driven growth. The WTO-plus commitments were thus trade-offs that China was willing to accept to lock in these benefits. From China’s compliance perspective, the additional burdensome obligations stemming from the WTO-plus commitments were not so much different from the standard obligations accepted by typical WTO members in terms of compliance. China was willing to adhere to these commitments whenever its trade interests allowed, while also seeking to interpret and

²⁷ Henry Gao and Weihuan Zhou, ‘The End of the WTO and the Last Case?’ East Asia Forum, 10 July 2019, at <https://www.eastasiaforum.org/2019/07/10/the-end-of-the-wto-and-the-last-case/> (visited 2 Feb 2025).

²⁸ Qin, above note 19, 512.

exploit ambiguities in all relevant rules over time, regardless of their origin, whether WTO-plus or otherwise.

B. Reshaping WTO Jurisprudence via Dispute Settlement

Although China, unlike the US and, to a lesser extent the EU, is not known as an aggressive litigant in the WTO's Dispute Settlement Mechanism (DSM), its engagement with the DSM has become increasingly active after being relatively quiescent in the initial years following its WTO accession, transforming from a passive observer to an active participant.²⁹ As of March 2025, China has appeared in 28 cases as a complainant, 49 cases as a respondent, and over 210 cases as a third party.³⁰ As I've noted elsewhere, 'China's engagement with the WTO dispute settlement system, as evidenced in the vast number of cases involving it, appears to display a rather positive attitude towards adopting a rules-based, legalistic approach to resolving disputes in international trade relations'.³¹ Evidently, China's engagement with the DSM has become a cornerstone of its strategy to safeguard its trade interests. China has leveraged its involvement to uphold its economic policies, contest unfavourable trade measures, and influence legal interpretations that align with its trade objectives agenda. Through often strategic WTO litigation, China has not only defended, or shown its willingness to defend, its trade interests, but has also driven the international trading regime to recognise and accommodate its distinct economic model, particularly concerning state capitalism, anti-dumping methodologies, and the environment-trade nexus.

A landmark case, known as 'DS379: United States – Definitive Anti-Dumping and Countervailing Duties on Certain Products from China' exemplifies China's efforts to influence WTO jurisprudence. It was initiated by China during the 2008-2009 period, which witnessed a sudden change in China's participation in the DSM,³² to challenge the US practice of simultaneously applying anti-dumping (AD) and countervailing duties (CVD) to Chinese products, such as steel, tires, and magnets, as well as, the determination of non-

²⁹ See James Scot and Rorden Wilkinson, 'China and the WTO, Redux: Making Sense of Two Decades of Membership', *Journal of World Trade* 56:1 (2022), 87, 101 (noting China was 'reluctant and even afraid to use the [DSM]' in the first five years of its WTO accession). See also Wang, 'China and International Trade Law', above note 2, 410-412.

³⁰ See WTO, 'Chronological list of disputes cases' (www.wto.org).

³¹ Wang, 'China and International Trade Law', above note 2, 410.

³² Wang, 'China and International Trade Law', above note 2, 410.

market economy status in anti-dumping investigations.³³ Particularly, this dispute prompted a nuanced reconsideration of the definition of ‘public body’ under WTO subsidies rules in favour of China by expanding opportunities for state-driven economic models.

The debate regarding the definition of a ‘public body’ was concerned with Article 1.1(a)(1) of the WTO Agreement on Subsidies and Countervailing Measures (the SCM Agreement), which provides that ‘a subsidy shall be deemed to exist if ... there is a financial contribution by a government or any *public body* within the territory of a Member’.³⁴ China’s argument was that the terms ‘government’ and ‘public body’ were ‘functional equivalents’, and, on this basis, a ‘public body’ was ‘an entity which exercises powers [or authority] vested in it by a ‘government’ for the purpose of performing functions of a ‘governmental’ character.’³⁵ Through this argument, China sought to exempt its SOEs from being classified as ‘public bodies’, thereby excluding them from the coverage of the SCM.

In determining whether Chinese SOEs and state-owned commercial banks (SOCBs) were ‘public bodies,’ the panel sided with the US Department of Commerce (USDOC), which is responsible for making such determinations. The USDOC found that SOE input suppliers were public bodies ‘by applying a rule of majority ownership’; namely, a public body can be ‘any input producer in which the government held a majority ownership’ share’.³⁶ The Panel found that there was no basis to decide that the USDOC acted inconsistently with the SCM Agreement in determining that the Chinese SOEs in question were public bodies.³⁷ However, following China’s appeal, the Appellate Body (AB) reversed several findings made by the panel, most notably regarding the definition of ‘public body’. China, in the appeal, argued that a public body should be determined by its functions, not ownership.³⁸ The AB provided detailed legal analysis to support China’s position on this issue. It pointed out that the ordinary meaning of public body ‘encompasses a variety of entities, including both entities that are vested with or exercise governmental authority and entities belonging to the community or nation.’³⁹ In examining the term ‘government’, the AB decided that ‘the essence of government is that it enjoys the effective power to regulate, control, or

³³ See *US – Anti-Dumping and Countervailing Duties (China)*, Report of the Panel, WT/DS379/R, 22 October 2010, paras 1.1 to 3.3. (hereinafter, DS379: Report of the Panel).

³⁴ Emphasis added.

³⁵ DS379: Report of the Panel, above note 31, para. 8.55.

³⁶ *Id.*, paras 8.116-123.

³⁷ *Id.*, para. 8.138.

³⁸ DS379, Report of the Appellate Body, WT/DS379/AB/R, 11 March 2011, paras 271-272.

³⁹ *Id.*, para. 285.

supervise ... through the exercise of lawful authority'. In the AB's view, the definition of 'government' informs that of the 'public body', which was entirely consistent with China's original argument.⁴⁰ Particularly, the AB stressed that, 'apart from an express delegation of authority in a legal instrument, the existence of mere formal links is unlikely to suffice to establish the necessary possession of government authority. *Thus, for example, the mere fact that a government is the majority shareholder of an entity does not demonstrate that the government exercises meaningful control over the conduct of that entity, much less that the government has bestowed it with government authority.*'⁴¹ The AB also reversed the Panel's finding that double remedies – namely the simultaneous application of AD and CVD duties – were not prohibited under WTO law, ruling that double remedies were inconsistent with Article 19.3 of the SCM Agreement. on the ground that 'the amount of a countervailing duty cannot be "appropriate" in situations where that duty represents the full amount of the subsidy and where anti-dumping duties, calculated at least to some extent on the basis of the same subsidisation, are imposed concurrently to remove the same injury to the domestic industry.'⁴²

The jurisprudential significance of the AB report lies in the decision's explicit limitation on other WTO members' ability to apply CVD against Chinese SOEs solely based on ownership. Mark Wu pointed out that the AB clarified, however, the status of only a limited group of firms within the Chinese economy as related to public bodies and expected the need for further clarification in WTO law to tackle the complexities of China's economic structure.⁴³ Nonetheless, to the extent that the final decision of DS379 has taken effect, its jurisprudential impact enables Chinese SOEs to achieve equal – or non-discrimination – treatment by WTO members in global business, provided there is no evidence to suggest that these SOEs are not operating on a commercial basis. This allows the Chinese government more policy space in managing its state-led economic development. To assess the implications of this ruling, consider a scenario in which the Appellate Body rendered an opposite decision: if Chinese state-owned enterprises were classified as public bodies solely due to government ownership, they would face restrictions on participating in international commercial activities, limiting their access to markets and global business operations. Even more crucially, companies

⁴⁰ Id, para. 290.

⁴¹ Id, para. 318 (emphasis added).

⁴² Id, paras. 582-583.

⁴³ Mark Wu, 'The China, Inc. Challenge to Global Trade Governance', *Harvard International Law Journal* (2016) 57, 261, 301-305.

interacting with these SOEs might appear to be collaborating with the Chinese government, potentially putting them at risk of accusations related to unfair competitive advantage, national security concerns, and protectionist policies, among other issues. As noted by a Chinese attorney who was a member of the Chinese legal team in DS379 and related cases, insofar as the definition of ‘public body’ is concerned, the AB’s decision in DS379 ‘not only put restraints on the abuse of countervailing measures by the USDOC, but also corrected the “ownership bias” of the US government at the level of the multilateral trading system’.⁴⁴

The favourable DS379 decision motivated China to take a more active role in driving the DSM to create legal interpretations benefiting its trade interests. After DS379, China launched another WTO case against the US in May 2012, referred to as DS437: *US – Countervailing Measures (China)*, concerning CVDs placed by the US on 22 Chinese goods. Again, regarding the definition of a public body, both the Panel and the AB ruled that ‘public body’ status requires evidence of exercising governmental authority, not merely state ownership, a decision that demonstrates the value of DS379 as a powerful precedent in the WTO legal system.⁴⁵ Alongside DS379 and DS543, China has sought to steer WTO jurisprudence to align with its trade interests in several other disputes initiated by or against China, while at times asserting that protecting multilateral trade rules also serves its own interests. In DS363, *China – Publications and Audiovisual Products*,⁴⁶ the US challenged China’s restrictions on imported films, publications and audiovisual products. China defended the restrictions based on public morals and cultural sovereignty under GATT Article XX(a). The Appellate Body accepted public morals as a valid defence, though it required China to comply with the principle of proportionality. Through this case, China effectively push WTO jurisprudence to broaden the concept of ‘public morals’, creating more opportunities and

⁴⁴ 肖瑾, 李政浩: “十年较量, 再下一城 – 中国政府在 WTO 诉美国反补贴措施再获胜诉” [Xiao Jin and Li Zheng Hao, ‘Another Victory in a Decade Long Battle: the Chinese Government Wins again in a WTO Case against the US Government], King & Wood Mallesons, 3 April 2018, at <https://www.chinalawinsight.com/2018/04/articles/dispute-resolution/%e5%8d%81%e5%b9%b4%e8%bc%83%e9%87%8f%ef%bc%8c%e5%86%8d%e4%b8%8b%e4%b8%80%e5%9f%8e-%e4%b8%ad%e5%9b%bd%e6%94%bf%e5%ba%9c%e5%9c%a8wto%e8%af%89%e7%be%8e%e5%9b%bd%e5%8f%8d%e8%a1%a5/> (visited 2 Feb 2025).

⁴⁵ See *United States – Countervailing Duty Measures on Certain Products from China*, WT/DS437/AB/R, 16 January 2015.

⁴⁶ The full title of the case is *China – Measures Affecting Trading Rights and Distribution Services for Certain Publications and Audiovisual Entertainment Products*, WT/DS363. The US initiated this case against China by requesting consultation on 10 April 2007. The Reports of the Panel and the Appellate Body were circulated on 12 August 2009 and 21 December 2009, respectively.

flexibility for China and other nations in similar contexts to justify and defend state ownership and control in their cultural sectors.

One should not overlook the byproduct implications of China's active participation in the DSM for the international legal order governing trade. Shaffer and Gao observed that, as 'China has started to shape WTO jurisprudence to constrain U.S. and E.U. discretion in imposing protection against Chinese imports ... U.S. and European perceptions of the WTO legal order have correspondingly changed.'⁴⁷ The US has attributed its resentment towards the AB, which led to the paralysis of the AB due to the American blockade on the appointment of AB members, to the AB's legal interpretations that favored China, particularly the AB report on DS379. USTR Lighthizer during the first Trump Administration released the 2020 Report on the Appellate Body, a 174-page document which heavily criticized that the AB 'has added to U.S. obligations and diminished U.S. rights by failing to comply with WTO rules, addressing issues it has no authority to address, taking actions it has no authority to take, and interpreting WTO agreements in ways not envisioned by the WTO Members who entered into those agreements'.⁴⁸

Especially, the USTR expressed significant frustration over the Appellate Body's definition of 'public body' in DS379. It claimed that the AB has chosen a flawed interpretation that is neither present in the agreed text nor aligned with the common understanding of the term.⁴⁹ As a result, the AB's 'narrow interpretation favors non-market economies operating through SOEs over market economies and undermines the ability of WTO Members to counteract subsidies by non-market economies.'⁵⁰ The USTR's own doctrinal analysis regarding the 'correct' legal interpretation of the definition of a public body was hardly more convincing than that of the AB. However, it was undeniable that the Report of the AB on DS379 triggered a shift in the US attitude toward the WTO from support to scepticism, culminating in actions by several consecutive US administrations from Obama to Trump to Biden – and to Trump again – that have significantly disrupted the WTO's dispute resolution mechanism, particularly the AB.

In short, the theoretical framework of 'instrumental multilateralism' is well-suited to explain China's pragmatic yet strategic engagement with the MTS, which helps shape jurisprudence-

based WTO case law towards a direction more accommodating China's economic structure. China's involvement in the DSM has grown significantly since the 'learning phase' (2001-2006) of its WTO membership. China effectively utilised the WTO's predictable dispute resolution system to secure advantageous rulings that immediately constrained the unilateral and protectionist measures, especially from the US and the EU. Notably, China's legal strategy in WTO litigation has significantly shaped the interpretation of WTO rules to accommodate its state capitalism system, demonstrating a masterful use of trade multilateralism to lay the jurisprudential groundwork within the WTO legal system, thereby strengthening its long-term economic model and policy flexibility.

C. Transforming Chinese Practice into WTO Law: China's Participation in WTO Rule-Making on Digital Trade and E-Commerce

Although China has not yet emerged as a rule-maker in international trade law writ large, it has been relatively more active and successful in at least one specific area: e-commerce. The issues involved are cross-border data flows, data localisation, electronic contracting, privacy, and consumer protection, among others. The PRC Ministry of Commerce has portrayed China as 'a key participant and major proponent in the ongoing negotiations on e-commerce at the [WTO]', and that 'China has engaged in discussions on all agenda items, presenting nine proposals covering over 20 specific issues, most of which have been incorporated into the consensus [of WTO members].'⁵¹

It has been noted that the US and China, two of the world's largest digital economies, have differing approaches to regulating digital trade at the multilateral level.⁵² While the US approach focuses on the digital nature of trade, addressing issues such as data flow restrictions, localisation requirements, and technology transfer, the Chinese approach emphasises traditional trade enabled by the internet, focusing on tariffs and customs procedures. The Chinese approach, however, has undergone significant changes since the early days, particularly following the formation of the Joint Statement Initiative (JSI) on Electronic Commerce, launched by a group of 71 WTO members (now comprising 91 WTO members) at the 11th WTO Ministerial Conference in Buenos Aires in December 2017. The

⁵¹ See 'China willing to contribute to WTO talks on e-commerce', *China Daily*, 26 December 2023 (english.www.gov.cn).

⁵² See generally, Gao, 'Digital or Trade?', above note 50.

JSI aims to negotiate a plurilateral agreement that establishes multilateral rules for digital trade. China did not participate in the negotiations as one of the initial 71 WTO members for the JSI but joined in 2019 the Second JSI with an ambition to shape global digital trade norms through proactive and strategic engagement in multilateral rule-making activities.⁵³ Specifically, China has been a leading voice influencing the ongoing development of the following key positions in multilateral digital trade negotiations:

- (a) Data sovereignty: China has made the maintenance of data sovereignty and government regulation of data flows a guiding principle in all aspects of cyber governance, advocating for the unconditional application of the traditional international law principle of ‘respecting sovereignty in cyberspace’.⁵⁴ In other words, it is a state-centric, sovereignty-oriented regulatory approach to digital governance that prioritises national security, data sovereignty, regulatory autonomy, and public interest exceptions. Consequently, China has proposed and backed measures permitting restrictions on cross-border data transfers for security and public policy reasons.
- (b) Developmental orientation: China has consistently championed and successfully integrated a ‘developmental dimension’ into multilateral negotiations on digital trade governance, promoting policy flexibility for developing countries to ensure digital trade rules remain inclusive and accommodate diverse levels of economic development. Regarding development-related concerns, the First JSI (2017), for which China was not one of the initial participating members, merely acknowledged the specific opportunities and challenges faced by developing countries, especially LDCs, in relation to e-commerce’.⁵⁵ In contrast, the Second JSI, China being one of the 84 participating WTO members, states that ‘[w]e recognize and *will take into account* the unique opportunities and challenges faced by ... developing countries and LDCs’, indicating a shift from a rhetorical policy declaration to a determination to act.⁵⁶ The role China played in forming the ‘development consensus’ was clearly demonstrated by the first submission made by the Chinese delegation to the JSI group, in which China sets out its overall approach to e-commerce negotiations and

⁵³ See ‘Joint Statement on Electronic Commerce’, WT/MIN(17)/60, 13 December 2017 (the First JSI), and ‘Joint Statement on Electronic Commerce’, WT/L/1056, 25 January 2019 (the Second JSI).

⁵⁴ See PRC State Council Information Office, ‘White Paper on China’s Law-based Cyberspace Governance in the New Era’, 16 March 2023, Part VI:3 (English.scio.gov.cn).

⁵⁵ The First JSI, above note 51.

⁵⁶ The Second JSI, above note 51.

emphasized that the objectives should include ‘helping developing Members and LDCs to integrate into global value chains ... and [seizing] development opportunities and benefits from inclusive trade’.⁵⁷ In doing so, China has undoubtedly emerged as the leader of developing countries in digital trade negotiations, whose voice will shape the final rules in a more development-oriented direction.

- (c) Cross-border data flow and data localisation: Rejecting the previous US position for a free flow model, China opposes unrestricted cross-border data flows, favouring instead restrictions on data transfer tied to national security and public policy exceptions. This stance aligns with China’s domestic laws, which mandate security assessments for outbound data transfer.⁵⁸ China’s approach in this regard starkly contrasts the EU’s privacy-focused approach and the US’s previous openness-based approach.⁵⁹ Further, China supported data localisation requirements and opposed the proposal from Japan and a few other members to ban data localisation.⁶⁰ It has also suggested leaving data storage regulation to national policy, framing localisation as a legitimate tool for protecting citizens and local firms. However, ironically, China accepted the general ban on data localisation under the Regional Comprehensive Economic Partnership Agreement (RCEP), though it managed to carve out broad exceptions for national security and public policy.⁶¹

Inn general, China’s role in the WTO’s digital trade negotiations has been supportive rather than agenda-setting, leveraging on its economic influence without completely aligning itself with either the liberalising or protectionist camps. China’s conservative and defensive stance on digital trade governance, characterised by a gradualist, incremental, restrictive, and development-oriented approach, was once viewed as counterproductive for WTO negotiations by some. Nigel Cory, an associate director of the Information Technology and Innovation Foundation (ITIF) contended that China should be disqualified from ‘participating in global rule-setting activities for digital trade’ because of ‘China’s inability to reconcile its

⁵⁷ ‘Joint Statement on Electronic Commerce, Communication from China’, INF/ECOM/19, 24 April 2019.

⁵⁸ See Simon Abendin and Pingfang Duan, ‘Global E-Commerce Talks at the WTO: Positions on Selected Issues of the United States, European Union, China, and Japan’, *World Trade Review* (2021) 21, 707 at 712.

⁵⁹ Id, 712-713.

⁶⁰ Id, 717.

⁶¹ See RCEP, Chapter 12, Article 12.14.

view of national sovereignty and data flows – as well as its continued insistence on using digital trade barriers to mercantilist ends’.⁶²

However, a recent radical shift in the US position has enabled a convergence between the stances of China and the US towards the Chinese position, indirectly broadening the impact of some of China’s policies on digital trade governance. On 24 October 2023, the USTR announced that it would withdraw support for proposals promoting cross-border information access in WTO negotiations on ecommerce. The proposals concerned are those that ‘protect cross-border data flows, prohibit forced data localization, safeguard source code, and prohibit countries from discriminating against digital products in [WTO].’⁶³ The stated reason was that the US and other countries ‘are examining their approaches to data and source code, and the impact of trade rules in these areas’.⁶⁴ Thus, the withdrawal was made to ‘provide enough policy space for those debates to unfold’ as they ‘might prejudice or hinder those domestic policy considerations’.⁶⁵ US politicians opposing the withdrawal rightly observed that this move would give China more opportunities to influence the rule-making in ecommerce negotiations: “We have warned for years that either the United States would write the rules for digital trade or China would. Now, the Biden Administration has decided to give China the pen.”⁶⁶ In any case, as the positions of China and the United States converge, it is increasingly probable that China’s regulatory philosophy regarding digital trade governance will gain broader acceptance, though this shift does not necessarily indicate a move towards greater liberalisation and further globalisation of the world economy.

In short, China’s current approach to digital trade and e-commerce reflects a broader strategy driven by instrumental multilateralism. It involves actively participating in global rule-making and market access negotiations while also working to transform its domestic rules and policies into international standards. This dual-path strategy offers China a significant advantage, enabling it to participate fully in multilateral negotiations without sacrificing its regulatory independence.

⁶² Nigel Cory, ‘Why China Should Be Disqualified From Participating in WTO Negotiations on Digital Trade Rules’, the Information Technology & Innovation Foundation, May 2019 (itif.org).

⁶³ Nigel Cory and Samm Sacks, ‘China Gains as U.S. Abandons Digital Policy Negotiations’, *LawFare*, 15 November 2023 (www.lawfaremedia.org).

⁶⁴ ‘USTR Statement on WTO E-Commerce Negotiations’, 24 October 2023 (ustr.gov).

⁶⁵ Id.

⁶⁶ ‘Crapo and Colleagues Condemn Biden Administration’s Decision to Cede U.S. Digital Leadership to China’, statement by Ranking Member Mike Crapo and eight other Republican members of the Senate Finance Committee, 26 October 2023 (www.finance.senate.gov).

D. Shifting Emphasis toward Development: The Impact of China's Relationship with the Global South on International Trade Law and Governance

China's relationship with the Global South – comprising mainly developing countries in Asia, Africa, and Latin America – within the WTO and other trade frameworks is a multifaceted and evolving dynamic. This relationship is having an increasingly significant impact on the development of international trade law, which, historically, has been primarily shaped by the interests of developed countries. China's accession to the WTO in 2001, along with its subsequent rise as a developing yet economically powerful country, has driven international trade law towards more accurately reflecting the positions and demands of developing countries, especially the emerging economies.

China's engagement with the Global South has significantly impacted international trade law by fighting for more powerful special treatment for developing countries, promoting alternative development models, advocating for the preservation of policy space for the developing world, and contesting traditional norms dominated by Western countries or at least raising questions about the coherence and adaptability of existing WTO rules within various trade frameworks. However, as China transitions into a more formidable global economic power rather than remaining an ordinary developing nation, the dynamics of the China-Global South relationship are shifting from a clear and straightforward interaction, akin to that between ordinary developing countries, to a landscape marked by increasing complexity and uncertainty, compelling international observers to scrutinize how China will navigate its role with developing nations as an industrialised superpower.

Specifically, the dynamics of China's interaction with the Global South nations have been influencing at least the following aspects of international trade law and governance:

1. China's Safeguarding of the Special and Differential Treatment (SDT)

The GATT/WTO's 'special and differential treatment provisions' (S&D or SDT) are rules that give developing countries special rights to receive favourable treatment from developed WTO members. The SDT rules and approaches can be categorised into three self-explanatory

groups: non-reciprocity, preferential market access, and permissive protection.⁶⁷ Since it joining the WTO, China has consistently championed SDT within the WTO framework, arguing that developing nations should be granted greater flexibility and extended adjustment periods for implementing trade obligations. This approach has redirected discussions on trade law to prioritise developmental concerns and the interests of developing countries.

However, China was originally in an awkward position in the Doha round negotiations immediately following its WTO accession, a position demonstrating the tension between its two identities – as a developing country and a rapidly growing industrialized nation known as the ‘factory of the world’. Thus, though it offered rhetorical support to the development agenda of the Doha round, China was not ‘a vociferous advocate of [SDT] treatment’.⁶⁸ It urged the developed members of the WTO to demonstrate ‘more political will and more substantive flexibilities, but indicated that itself was flexible on almost every issue.’⁶⁹ However, with China's increased involvement in WTO activities in the past decade, it has become more eager to position itself as a development partner and lend political support to the demands of developing countries, especially since it joined the WTO’s core decision-making group in 2008.⁷⁰ This policy approach is clearly driven by a broader political agenda, as Clara Weinhardt argued, ‘China’s support for the Doha Development Agenda tends to reflect the importance of political ties with the Global South in Chinese foreign policy, rather than shared economic interests.’⁷¹ This approach culminated in China's proposal to the WTO’s General Council in 2019 regarding the trade organization’s overall reform plan, in which China presented specific negotiation suggestions for making the SDT provisions ‘more precise, effective, and operational.’⁷² In this regard, China was the only major trading power that created a comprehensive plan for enhancing the SDT in the interest of developing countries.⁷³

Regardless of the specific motivations, China’s emergence as a strong and leading advocate for the SDT has influenced the evolution of international trade law by upholding traditional

⁶⁷ Joel P. Trachtman, ‘The WTO and Development Policy in China and India’, in Muthucumaraswamy Sornarajah, *China, India and the International Economic Order* (CUP, 2010) 17 at 20.

⁶⁸ C.L. Lim and Jiangyu Wang, ‘China and the Doha Development Agenda’, *Journal of World Trade* (2010) 44:6, 1309 at 1314.

⁶⁹ Id.

⁷⁰ Clara Weinhardt, ‘China’s Relations with the Global South in the World Trade Organization’, in Gao, Raess and Zeng, above note 2, 204 at 208-209.

⁷¹ Id., 209.

⁷² ‘China’s Proposal on WTO Reform’, WT/GC/W/773, 13 May 2019, para. 2.32-2.34.

⁷³ Other major trading powers, such as the EU and India, mentioned also the development issue in their proposal but focused on some technical issues.

development positions and resisting radical reforms. China's strong political will to utilise the SDT topic for building coalitions in international economic relations, combined with its economic might, has rendered the SDT rules increasingly unshakable, even though the US, along with other Western economies, has criticised the SDT for enabling the majority of WTO members to benefit from differential treatment at the expense of those who do not qualify for it.⁷⁴ The debates over China's status as a developing country have prompted reconsideration and potential reform of the SDT provisions, especially the definition of developing countries in the WTO. In January 2019, the US submitted a proposal to the WTO suggesting to create stricter eligibility requirements for the designation of developing country status, requesting current and future trade negotiations to withhold SDT from countries classified as 'high income' by the World Bank, OECD members or acceding members, G20 nations, and any state accounting for 0.5 percent or more of world trade.⁷⁵ China quickly responded. Teaming up with India and a great number of other developing countries, it made two submissions to refute the US and emphasise the need for developing countries to continue to enjoy unconditional rights to SDT, arguing that any attempt to dilute SDT by denying self-designation would conflict with the WTO's fundamental premises of equality and fairness.⁷⁶ One may argue that China's proactive support for SDT and the U.S.'s determination to limit the number of WTO members receiving special treatment have contributed to the impasse in talks regarding trade and development within the WTO, further rendering the global trade institution more irrelevant and marginalised.

2. An Alternative Development Model's Challenge to Traditional Trade Norms

China's success in lifting millions out of poverty through state-directed capitalism and strategic industrial policy has challenged the previously dominant neoliberal model embedded in international trade norms. This presents the Global South with an alternative, non-Western development path that emphasises strong, authoritarian governance, state-led

⁷⁴ About two-thirds of all WTO members designate themselves as developing economies in order to receive the SDT.

⁷⁵ 'An Undifferentiated WTO: Self-Declared Development Status Risks Institutional Irrelevance', WT/GC/W/757, 16 January 2019.

⁷⁶ See 'The Continued Relevance of Special and Differential Treatment in Favour of Developing Members to Promote Development and Ensure Inclusiveness: Communication from China, India, South Africa, The Bolivarian Republic of Venezuela, Lao People's Democratic Republic, Plurinational State of Bolivia, Kenya, Cuba, Central African Republic and Pakistan', WT/GC/W/76t/Rev.2, 28 February and 1 March 2019; 'Statement of Special and Differential Treatment to Promote Development, co-sponsored by the African Group, The Plurinational State of Bolivia, China, Cuba, India and Oman', WT/GC/202, 9 October 2019.

industrialisation, and export-oriented economic growth. This has prompted a reconsideration of how state interventionist approaches align with WTO principles and rules.⁷⁷

While an alternative economic model isn't inherently problematic, it can pose a challenge when it comes up against the conventional wisdom of the multilateral trading system, which was initially based on the liberal market economy model. Advocating for the alternative model within this context has the potential to influence the development of international trade law by shaping legal interpretations that may be viewed as unconventional by certain parties. This approach could confer both legality and legitimacy upon the alternative model by exploiting ambiguities and loopholes present within the treaty language of WTO agreements. China's strong support for the SDT and its active participation in the DSM have served purposes beyond their original intent. Specifically, these actions aim to secure special treatment for developing members of the WTO and to protect China's immediate trade interests against what it perceives as protectionist measures from the US and Europe. For instance, China has defended the rights of developing countries to use subsidies and localisation requirements for developmental purposes and has supported the maintenance of TRIPS flexibilities for public health and technology transfer. China's legal strategies have promoted procedural reforms that benefit developing countries with limited legal capacity. Additionally, as noted previously, China's successful challenge to the simultaneous application of anti-dumping and countervailing duties, as well as the non-market economy methodology in anti-dumping investigations, created jurisprudence that benefits all developing countries facing similar measures.

3. Building Alternative Institutions: Bringing the Global South Further Away from International Trade Law?

Unlike in the field of development finance, where China established the Asian Infrastructure Investment Bank (AIIB) in 2015, China has yet to create an international or regional trade organisation that performs the same or similar functions as the WTO. Although China has signed more than two dozen free trade agreements (FTAs) and is a leading member of the RCEP, the world's largest FTA, these Chinese FTAs are comparable to the ordinary regional trade agreements concluded by other countries, such as the CPTPP and USMCA. In this

⁷⁷ See generally, Randall Peerenboom, *China Modernizes: Threat to the West or Model for the Rest?* (OUP 2007), Chapter 2.

sense, the proliferation of trade arrangements championed by China does not necessarily suggest that China has established ‘alternative’ institutions for international trade, particularly if ‘alternative’ is defined as a trade regime wherein China formulates the rules and dominates its operations (as exemplified by the AIIB).

However, the Belt and Road Initiative (BRI), Chinese President Xi Jinping’s signature foreign policy project, marked the beginning of a different approach to ordering international economic relations centred on China. Although the BRI is primarily a vast network of infrastructure projects spanning over 150 countries and involving more than 30 international organisations,⁷⁸ China also envisioned closer trade relations with the countries participating in the BRI.⁷⁹ In fact, Chinese state media has thoroughly discussed how the BRI can be utilised to promote ‘free trade’ in China’s relationships with other BRI countries.⁸⁰ In 2024, the total trade volume between China and other BRI countries reached RMB 22.07 trillion, accounting for more than 50 per cent of China’s total foreign trade.⁸¹

The BRI, however, is not an international organisation and lacks a permanent or even ad hoc secretariat, let alone a legal personality. More significantly, the BRI does not possess a centralised dispute resolution system akin to the WTO’s DSM. As I noted elsewhere, even though economic disputes involving Chinese parties and investment arising from the BRI have already emerged, China does not prefer using formal laws to resolve disputes. Instead,

The Chinese approach to the BRI is distinctive in the sense that it adopts a more informal and less institutional approach, which can be called a ‘partnership-based relational approach’. Being ‘*relational*’ means the cooperative framework for the BRI is not based on treaty-based institutional design. Rather, it utilizes a variety of means, most of which are rather abstract and ambiguous, with the view to building confidence and developing good relations through voluntary cooperation and non-binding promises. The ‘*partnership*’ dimension in the BRI indicates that the bilateral cooperation between China

⁷⁸ Xi Jinping, Keynote speech at the Third Belt and Road Forum for International Cooperation, 18 October 2023 (en.qstheory.cn).

⁷⁹ One of the cooperation areas of BRI is trade facilitation to remove investment and trade barriers. See Jiangyu Wang, ‘China’s Governance Approach to the Belt and Road Initiative (BRI): Relations, Partnership, and Law’, *Global Trade and Customs Journal* (2019) 14:5, 222 at 223.

⁸⁰ See 刘江宁: ‘共建“一带一路”促进贸易畅通’ [Liu Jiangning, ‘Jointly Building the BRI to Promote Free Smooth Flow of Trade in Goods’], *People’s Daily*, 26 December 2023 (theory.people.com.cn); 冯宗宪, ‘自贸试验区与“一带一路”融合发展的新路径’ [Feng Zongxian, ‘The Fusion of Free Trade Areas and the BRI: A New Path Joint Development’], *The People’s Tribune*, 20 September 2020 (paper.people.com.cn).

⁸¹ See ‘新华社权威速览: 2024 年我国外贸成绩单’ [Reportcard on China’s Foreign Trade in 2024], *Xinhua News*, 14 January 2025 (www.yidaiyilu.gov.cn).

and the individual BRI countries is always oriented towards building partnership, for which the BRI does not impose a uniform model applying to all countries. Rather, China seemingly seeks a model of ‘One Country One Approach’ (*yiguo yice*)..... That is, China’s bilateral cooperation with each and every BRI country can adopt a different model, as long as it is a mutually acceptable solution through friendly bilateral negotiations. This partnership-based approach is featured with a strong degree of pragmatism, which is both result-oriented and process-oriented, while flexible enough to accept compromises and even failures in order to maintain good relations in the long term.⁸²

The implications for international trade law, especially regarding China’s alternative institutions like the BRI, suggest that China will likely try to steer its trade disputes with BRI partners away from formal international trade law and its related dispute settlement mechanisms as much as possible, even though China has not indicated that it aims to prevent BRI countries from making use of the WTO’s dispute resolution mechanisms.

IV. Concluding Remarks

International trade law is one major legal domain that illustrates how and why Chinese developmentalism gains traction at the international level. Specifically, international trade law has facilitated China’s integration into the world economy, provided both external pressure and tools for reforming its trade regime and legal system, and enabled China to resolve trade frictions with other countries through rules-based dispute settlement mechanisms. However, the inverse relationship – how China has influenced international trade law – often goes overlooked in the literature. This chapter undertakes this task and examines several areas in which China has played a role in shaping the rules, regulatory philosophies, and institutional operations of international trade law and governance. It finds that China has been able to reshape WTO jurisprudence to accommodate its hybrid economic system, insert its domestic policy into the agendas of some WTO negotiations, and build

⁸² Wang, ‘China’s Governance Approach to BRI’, above note 77, 224. Heng Wang also described the major legal characteristic undergirding China’s BRI approach as one of ‘maximised flexibility’, which is a strategy ‘to shape legal frameworks that are fluid and flexible enough to implement a vast array of different kinds of projects, across differing jurisdictions and an increasingly wide range of areas’. See Heng Wang, ‘China’s Approach to the Belt and Road Initiative: Scope, Character and Sustainability’ (2019) *Journal of International Economic Law* 29 at 31 and 43.

coalitions by uniting the Global South to strengthen its bargaining position, thereby influencing the final outcome of rule-making. Additionally, the WTO-plus obligations imposed on China *per se* constitute a systemic challenge to the integrity and uniformity of the WTO legal system.

However, China's actual impact on international law remains limited. It is still primarily a rule-taker rather than a rule-maker. China has not taken any steps to – and probably does not intend to – overhaul the fundamental structure of the multilateral trading system, or to bring about revolutionary alterations to it. Instead, it adopts the approach of instrumental multilateralism, which embodies a strategic and pragmatic view on trade multilateralism. In doing so, China aids in the diversification and pluralisation of international legal norms. China's numerous roles in the world economy – as an economic superpower with a unique and hybrid economic system, as a status quo power that still perceives itself as a beneficiary of multilateralism while historically emphasizing sovereignty, and as a perceived leader of the Global South – will continue to shape global discussions on international trade law especially when China is subtly reshaping around developmentalism. This suggests a future marked by legal pluralism, diversity, and the negotiated coexistence of differing regulatory models and legal traditions, or by a stagnant multilateral trade system hindered by impasses stemming from great power rivalries.